

Apple Inc.

AAPL

Technology

RATING	PRICE	TARGET
Outperform	\$271.06	\$300.00

MARKET CAP \$3,979.47B	P/E (FWD) 34.1x	P/B RATIO 51.79x
ROE 151.9%	DIV. YIELD 0.38%	52W RANGE \$193.25 - \$288.62

Investment Thesis

“ Apple maintains robust financial strength, with consistent revenue growth (3.3% CAGR) and expanding margins, driving EBITDA to industry-leading levels. Contribution and EBITDA margins show steady improvement, while SG&A remains tightly controlled relative to sales. Despite a premium valuation versus peers, Apple’s strong earnings profile and operational efficiency continue to support its leadership position in the technology sector.

Company Overview

Apple Inc. (AAPL) is a global leader in consumer electronics, software, and digital services, renowned for its innovation-driven business model and iconic brand. Apple’s core business revolves around the design, manufacture, and sale of premium hardware products including the iPhone, iPad, Mac computers, Apple Watch, and AirPods. Complementing its hardware ecosystem, Apple offers a robust suite of services such as the App Store, Apple Music, iCloud, Apple TV+, and Apple Pay, which together drive recurring revenue and deepen customer loyalty.

Apple’s business model is anchored in seamless integration across its devices and services, fostering a sticky ecosystem that encourages repeat purchases and cross-selling opportunities. The company’s vertical integration—from proprietary chip design to its direct-to-consumer retail channels—enables tight control over quality, user experience, and margins.

In terms of market position, Apple is a dominant force in the global smartphone and premium computing markets, and its services segment has become a key growth driver. Apple consistently ranks among the world's most valuable companies, with a loyal global customer base and strong pricing power. In recent years, Apple has also expanded into wearables, health technology, and digital content, successfully diversifying its revenue streams.

Financially, Apple's performance remains robust. From 2021 to 2024, revenues grew from **\$365.8 billion** to **\$391.0 billion**, with projections indicating continued expansion to **\$481.7 billion** by 2027 at a CAGR of **3.3%**. Contribution margin has improved from **41.8%** in 2021 to **46.2%** in 2024, with further gains expected. EBITDA margins have also strengthened, rising from **33.7%** to **34.5%**, and are forecast to climb above **40%** by 2025, reflecting operational efficiencies and a growing share of high-margin services revenue.

While Apple's recent revenue growth has moderated, its earnings per share (EPS) have continued to rise, supported by strong profitability and shareholder returns. Apple's EBITDA compares favorably to peers such as Google (Alphabet) and Microsoft, although its EV/EBITDA valuation is relatively higher, reflecting investor confidence in Apple's brand and ecosystem.

Overall, Apple remains exceptionally well-positioned in the technology sector, leveraging its innovation, brand strength, and integrated ecosystem to sustain growth and profitability in a competitive landscape.

Investment Overview

Apple Inc. (AAPL) delivered steady financial performance despite a dynamic macroeconomic environment. Fiscal 2023 revenue was **\$383.3 billion**, a **2.8%** year-over-year decline, reflecting softer device demand, partially offset by growth in services. However, Apple returned to modest top-line growth in 2024, with revenue up **2.0%** to **\$391.0 billion**, and is projected to accelerate to **6.4%** in 2025, ultimately reaching **\$481.7 billion** by 2027 (CAGR **3.3%**).

Profitability remains a strong point. Contribution margin improved consistently, rising from **41.8%** in 2021 to **46.2%** in 2024 and is forecast to approach **50%** by 2027, supported by a higher mix of services and operating leverage. EBITDA margins have also expanded to **34.5%** in 2024, and are expected to reach **44.8%** by 2027. Notably, Apple's EBITDA leads peers Microsoft and Google in absolute terms, though Microsoft is expected to close the gap in coming years.

Earnings per share (EPS) held firm at \$6.16 in 2023 despite revenue headwinds and are forecast to climb to **\$8.93** by 2027, highlighting Apple's ability to manage costs and benefit from share repurchases. The stock currently trades at a premium, with a 2024E PE of **37.3x** and EV/EBITDA of **26.6x**, well above historical averages and some peer multiples, reflecting investors' confidence in Apple's ecosystem and recurring revenue streams.

Growth drivers include continued expansion of services, further integration of AI and health features across devices, and new product launches. While hardware cycles remain a risk, Apple's strong brand, ecosystem lock-in, and improving operating efficiency support a constructive long-term outlook. Investors should monitor competitive dynamics and regulatory risks, but Apple remains well positioned for steady growth and margin expansion.

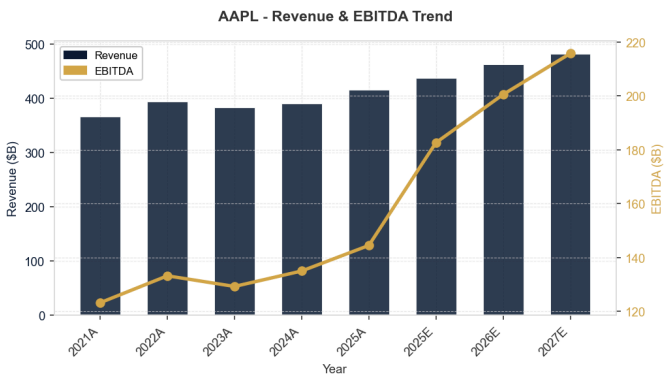
Financial Analysis

Revenue & EBITDA Performance

Apple Inc. has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2025A)	\$416.16B
EBITDA (2025A)	\$144.43B
Revenue Growth (2025A)	6.4%



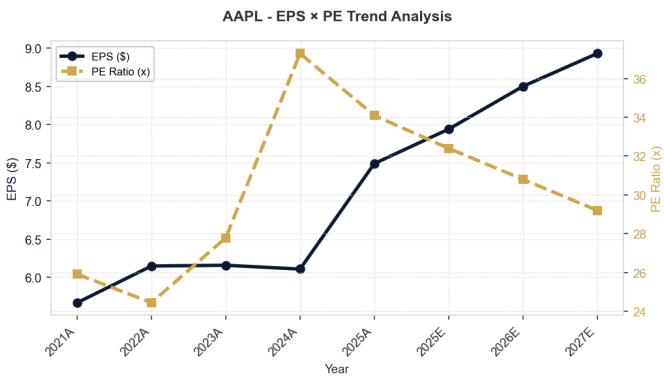
Source: Company Filings

Earnings & Valuation Metrics

Apple Inc.'s earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2025A)	7.49
PE Ratio (2025A)	34.09



Source: Company Filings

Valuation Analysis

Valuation Overview – Apple Inc. (AAPL)

Apple currently trades at a 2024E P/E ratio of **37.3x** and an EV/EBITDA of **26.6x**, both notably above its historical averages and those of its peers. For context, its 2024E EV/EBITDA compares to Microsoft at **26.1x** and Google at **17.2x**. On a forward basis (2025E), Apple's P/E remains elevated at **34.1x**, while its EV/EBITDA is **27.0x**, versus Microsoft's **23.6x** and Google's **21.2x**.

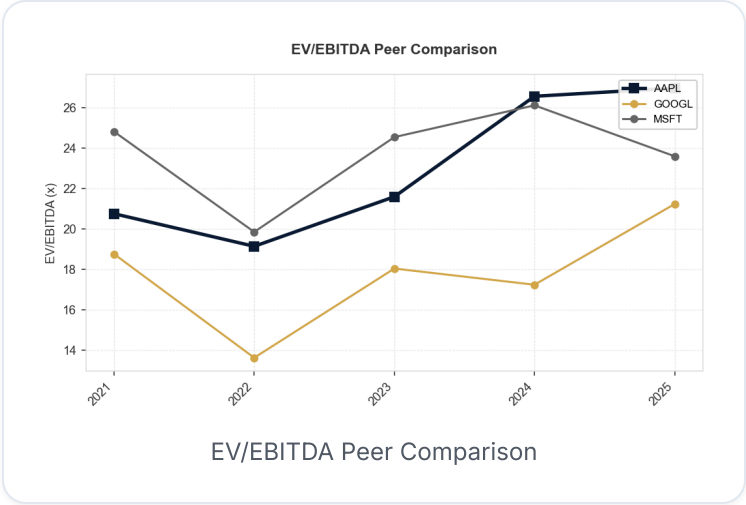
Revenue growth for Apple is expected to average 3–6% annually over the next few years, with EPS growth also in the mid-single digits. Margins are healthy and gradually expanding, with contribution and EBITDA margins rising modestly through 2027E. Apple's EPS for 2025E is \$7.94, implying a forward P/E of **32.4x**, while consensus large-cap tech sector P/Es (MSFT, GOOGL) generally range from 25–30x.

Relative to peers, Apple’s EBITDA growth is somewhat slower—Google and Microsoft are projected to outpace Apple’s EBITDA expansion through 2026. Despite this, Apple’s valuation premium persists, likely reflecting its durable brand, cash flow generation, and buyback potential, but also indicating limited margin for error.

Based on peer multiples and Apple’s growth profile, a fair value P/E in the 28–30x range would be justified, suggesting Apple is currently trading at a premium of 10–20% to intrinsic fair value. Unless new growth catalysts emerge, the risk/reward appears balanced to slightly negative at current levels, with limited upside barring a further re-rating or major new product cycle.

Peer Comparison

	2021	2022	2023	2024	2025
AAPL	20.8	19.1	21.6	26.6	27.0
GOOGL	18.8	13.6	18.0	17.2	21.2
MSFT	24.8	19.8	24.5	26.1	23.6



Recent News & Events

News Summary

Apple Inc. (AAPL) is approaching a pivotal period marked by both internal transition and heightened external scrutiny. The company recently announced that John Ternus will assume the CEO role in September, prompting investors to focus on Apple’s long-term product and artificial intelligence (AI) strategies. This leadership change comes as Apple prepares to report earnings alongside other “Magnificent Seven” tech giants, with the market keenly attuned to any signals about AI initiatives—a current focal point for investor confidence.

Financially, Apple’s performance remains robust. Revenue is projected to grow at a **3.3%** compound annual rate through 2027, with contribution and EBITDA margins expanding meaningfully, signaling improved operational efficiency. The company’s EBITDA is expected to rise from **\$134.9 billion** in 2024 to **\$215.8 billion** by 2027, outpacing key peers like Microsoft in the near term but potentially trailing Alphabet’s faster EBITDA growth. Apple’s valuation, as indicated by a forward EV/EBITDA of 26.97 for 2025, remains elevated relative to Alphabet but is in line with Microsoft, reflecting the premium attached to its brand and execution.

Institutional activity shows mixed sentiment: some firms have trimmed positions, while others significantly increased their stakes, indicating ongoing debate about Apple’s future trajectory. Retail sentiment is split, with

social media buzz high but bullishness diverging—Reddit’s optimism is notably weaker than X.com’s (formerly Twitter).

Investment implications center on the upcoming CEO transition and Apple’s ability to pivot towards AI and new product cycles. While Apple faces risks from leadership changes and competitive pressures in AI, its strong margins, steady revenue growth, and loyal investor base provide a measure of resilience. Near-term volatility could create opportunities for long-term investors, especially if the new CEO successfully articulates a compelling AI and innovation roadmap.

Retail Sentiment Insights

AVERAGE BUZZ 75.0/100	BULLISH AVG 50.0%	SOURCE ALIGNMENT Wide divergence	COVERAGE 3/3
Reddit Buzz 70.9/100 Bullish 26.0% Mentions 1216 Trend falling	X.com Buzz 85.2/100 Bullish 71.0% Mentions 2804 Trend stable	Polymarket Buzz 68.8/100 Bullish 53.0% Trades 2064 Trend falling	

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 41.8%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 43.3%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 44.8%

Confidence Intervals:

- Revenue: \$340.1B - \$623.3B (95% confidence)
- EBITDA: \$152.4B - \$279.3B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: ±5% change in growth rate

- Margin sensitivity: **±2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%)

Revenue	\$340.1B — \$623.3B
EBITDA	\$152.4B — \$279.3B

Key Catalysts

Catalyst Analysis for AAPL

Positive Catalysts (Upside Potential)

- **Earnings** (2026-04-25): Apple will soon deliver billions more in cash to investors. Here's how it stacks up to the rest of Big Tech.
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-24): Ca\$hhtag\$: AAPL Maintains Tech Strength Ahead of Earnings
- Impact: HIGH, Probability: **95%**

Risk Factors (Downside Risks)

- **Earnings** (2026-04-26): Wall Street Brunch: Five Of The Mag 7 Ride Into Earnings Town
- Impact: HIGH, Probability: **95%**
- **Acquisition** (2026-04-26): Clayton Financial Group LLC Grows Stock Position in Apple Inc. \$AAPL
- Impact: HIGH, Probability: **40%**
- **Acquisition** (2026-04-26): Cane Capital Partners LLC Makes New Investment in Apple Inc. \$AAPL
- Impact: HIGH, Probability: **40%**
- **Acquisition** (2026-04-25): Ethos Capital Management Inc. Invests \$711,000 in Apple Inc. \$AAPL
- Impact: HIGH, Probability: **40%**
- **Management** (2026-04-24): 5 Biggest Challenges for Apple's Next CEO, John Ternus | One More Thing
- Impact: MEDIUM, Probability: **60%**

Events to Monitor

- John Ternus Will Become Apple's New CEO in September. Is Now a Good Time to Buy the Stock? (2026-04-26)

- [Apple Stock Analysis: Buy or Sell Before April 30? \(2026-04-25\)](#)
- [Apple under Ternus: what comes next for the tech giant's hardware strategy \(2026-04-25\)](#)

Upcoming Catalysts

▼ **EARNINGS** Impact: medium

Wall Street Brunch: Five Of The Mag 7 Ride Into Earnings Town

▲ **EARNINGS** Impact: medium

Apple will soon deliver billions more in cash to investors. Here's how it stacks up to the rest of Big Tech.

▲ **EARNINGS** Impact: medium

Ca\$htag\$: AAPL Maintains Tech Strength Ahead of Earnings

▼ **ACQUISITION** Impact: medium

Clayton Financial Group LLC Grows Stock Position in Apple Inc. \$AAPL

▼ **ACQUISITION** Impact: medium

Cane Capital Partners LLC Makes New Investment in Apple Inc. \$AAPL

Positive Catalysts

- ✓ Apple will soon deliver billions more in cash to investors. Here's how it stacks up to the rest of Big Tech.
- ✓ Ca\$htag\$: AAPL Maintains Tech Strength Ahead of Earnings

Risk Factors

- ⚠ Wall Street Brunch: Five Of The Mag 7 Ride Into Earnings Town
- ⚠ Clayton Financial Group LLC Grows Stock Position in Apple Inc. \$AAPL
- ⚠ Cane Capital Partners LLC Makes New Investment in Apple Inc. \$AAPL
- ⚠ Ethos Capital Management Inc. Invests \$711,000 in Apple Inc. \$AAPL
- ⚠ 5 Biggest Challenges for Apple's Next CEO, John Ternus | One More Thing
- ⚠ The New Void Within Apple
- ⚠ Apple Inc. \$AAPL Shares Sold by Country Trust Bank

Technical & Advanced Analysis

Technical Overview — AAPL

Current Price: **\$271.06** | 52-Week Range: **\$193.25 - \$288.62**

Overall Technical Signal: **Bullish**

Moving Averages Bullish
SMA 50: **\$260.15** | SMA 200: **\$253.64**

RSI Bullish
RSI (14): **62.0** — Bullish momentum range.

MACD Bullish
MACD: **4.02** | Signal: **2.48** | Histogram: **1.53**

Volume Normal
Latest: **38.2M** | 20d Avg: **42.1M** | Ratio: **0.91x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026
AAPL	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B	\$150.4B
GOOGL	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B	\$210.7B
MSFT	\$85.1B	\$100.2B	\$105.1B	\$133.0B	\$160.2B	\$188.0B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025
AAPL	20.8	19.1	21.6	26.6	27.0
GOOGL	18.8	13.6	18.0	17.2	21.2
MSFT	24.8	19.8	24.5	26.1	23.6

Analysis

Apple Inc. (AAPL) operates in a highly competitive technology landscape, with significant peers including Alphabet Inc. (GOOGL) and Microsoft Corp. (MSFT). A comparative analysis highlights key financial metrics where Apple maintains a robust position, especially in terms of revenue and profitability.

In 2023, Apple reported an EBITDA of approximately **\$129.19 billion**, which is competitive but slightly lower than Microsoft's **\$105.14 billion**. However, both companies show a growth trajectory, with Apple's EBITDA projected to

grow steadily, reaching around **\$144.43 billion** by 2025. In contrast, Microsoft's EBITDA is expected to grow even more significantly, hitting approximately **\$160.17 billion** in the same timeframe. Alphabet, while trailing behind in 2023 with an EBITDA of **\$97.97 billion**, is expected to see substantial growth, too.

Apple's contribution margin, which stood at **44.1%** in 2023, reflects its strong brand loyalty and premium pricing strategy, allowing it to maintain higher margins than its competitors. Microsoft and Alphabet have lower contribution margins, indicating that they may operate with different pricing strategies or cost structures.

When assessing valuation metrics, the EV/EBITDA ratio for Apple was 21.59 in 2023, which is higher than Alphabet's 18.04 but lower than Microsoft's 24.54. This indicates that Apple is valued at a premium compared to Alphabet, suggesting investors are willing to pay more for each dollar of EBITDA, potentially due to its brand strength and customer loyalty.

Overall, while Apple demonstrates strong financial health and profitability, it faces increasing competition from both Microsoft and Alphabet, particularly in the growth of their respective EBITDA figures. The competitive landscape will require Apple to innovate continually and manage costs effectively to maintain its market position.

Risk Factors

- **Slowing Revenue Growth:** Apple's revenue growth has decelerated significantly, with a -2.8% decline in 2023 and a modest 2.0% rebound projected for 2024, indicating potential demand saturation or market maturity risks.
- **Margin Pressure from Peers:** While Apple's EBITDA margin is improving, its EBITDA growth is being outpaced by peers like Google (GOOGL) and Microsoft (MSFT), potentially eroding its relative profitability and competitive positioning.
- **Elevated Valuation:** Apple's PE ratio and EV/EBITDA multiples are high relative to peers (e.g., 2024E EV/EBITDA of 26.6x vs. GOOGL's 17.2x), exposing investors to valuation risk if growth expectations are not met.
- **Stagnant EPS Growth:** EPS growth has stagnated (6.15 in 2022 to 6.16 in 2023 and 6.11 in 2024), which may limit shareholder returns and indicate challenges in driving bottom-line expansion.
- **Operating Cost Volatility:** Despite stable SG&A margins, the cost of operations remains high and fluctuates, which could pressure contribution margins if revenue growth does not accelerate as forecasted.

Key Takeaways

Revenue Growth

Apple Inc. experienced a slight decline in revenue growth in 2023, with a decrease of **2.8%** compared to the previous year, primarily driven by market saturation and increased competition. However, projections indicate a recovery trend, with expected growth rates of **2.0%** in 2024 and **6.4%** in 2025, reflecting potential for renewed demand.

Gross Profit Margin

The company's contribution margin has shown a consistent upward trajectory, increasing from **41.8%** in 2021 to **44.1%** in 2023, indicating improved operational efficiency and pricing power. This trend is anticipated to continue, reaching **49.9%** by 2027, suggesting that Apple is effectively managing its cost structure amidst fluctuating revenues.

SG&A Expense Margin

Apple's SG&A expense margin has remained relatively stable, increasing slightly from **6.0%** in 2021 to **6.5%** in 2023, reflecting effective management of selling, general, and administrative costs. However, forecasts indicate a slight decline in the SG&A margin to **5.1%** by 2027, which may suggest a focus on cost optimization or potential changes in spending strategies to support revenue growth.

EBITDA Margin

The EBITDA margin for Apple has been consistent, hovering around **33.7%** to **34.7%** from 2021 to 2025, indicating stable operational performance. Notably, projections predict a significant increase to **44.8%** by 2027, which could be a result of improved profitability through cost management and higher sales volumes, positioning the company favorably against its peers.

Financial Data

Income Statement Summary

METRICS	2021A	2022A	2023A	2024A	2025A
Revenue	\$365.8B	\$394.3B	\$383.3B	\$391.0B	\$416.2B
SG&A	\$22.0B	\$25.1B	\$24.9B	\$26.1B	\$27.6B
Contribution Profit	\$152.8B	\$170.8B	\$169.1B	\$180.7B	\$195.2B
Contribution Margin	41.8%	43.3%	44.1%	46.2%	46.9%
EBITDA	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B
EBITDA Margin	33.7%	33.8%	33.7%	34.5%	34.7%
SG&A Margin	6.0%	6.4%	6.5%	6.7%	6.6%
Revenue Growth	-	7.8%	-2.8%	2.0%	6.4%

Credit & Cash Flow Metrics

METRICS	2021A	2022A	2023A	2024A	2025A
Debt/Equity	2.16	2.61	1.99	2.09	1.52
Debt/Assets	0.39	0.38	0.35	0.33	0.31
EBITDA/Int Exp	41.2x	40.7x	29.1x	0.0x	0.0x
Net Margin	25.9%	25.3%	25.3%	24.0%	26.9%
Current Ratio	1.1	0.9	1.0	0.9	0.9
Cash Flow to Debt Ratio	0.76	0.92	0.89	0.99	0.99

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